RESOLUTION No. 4471

Redefine Fund 225 - PERS Rate Stabilization Reserve Fund to meet the requirements of Governmental Accounting Standards Board (GASB) Statement No. 54

RECITALS

A. On June 16, 2003, by way of Resolution No. 2679, the Board created the PERS Rate Stabilization Reserve Fund under the then-existing Local Budget Law and Government Accounting Standards Board (GASB) requirements.

B. The fund purposes have been to account for the reserve needed to minimize large fluctuations in the PERS rate assessed against PPS salaries and wages, and to repay the PERS Unfunded Actuarial Liability (UAL) borrowing relative to the District's participation on the Oregon School Boards Association Pension Obligation Bond Programs of October 31, 2002 and April 30, 2003.

C. Initial fund resources were budgeted transfers from the General Fund. Expenditures, if needed, were budgeted as fund transfers back to the affected fund. Requirements in excess of needed expenditures have been budgeted as Unappropriated Fund Balance.

D. GASB Statement 54 compliance will be required for the District financial reporting for its fiscal year end June 30, 2011. In response, the Board has adopted newly enacted fund type definitions and fund balance classifications that are specified in Governmental Accounting Standards Board Statement 54.

E. Under the new requirements of GASB Statement 54, special revenue funds are to be used only for specific external revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects.

F. Under GASB Statement 54, a Committed fund balance, such as the ending fund balance in the PERS Rate Stabilization Fund, now relates to constraints imposed by the governing body upon itself through formal action of the Board, affecting both resources and requirements.

G. Under GASB Statement 54, a Committed fund balance requires the District to identify specific, dedicated revenue source(s), of which fund transfers do not qualify. The resources must be identified as the primary resource, such as property taxes.

H. Consultation with Government Finance Officers Association (GFOA), District external auditors and the Oregon Department of Education (ODE), has determined that dedication of an annual percentage of dollar amount of general property taxes for operations qualifies as a special revenue source necessary to ensure that the fund balance can be defined as Committed.

I. The Board will dedicate 0.11% of Current Year Property Taxes to fund 225, without increasing overall property taxes.

J. GASB Statement 54 further requires the District, through formal action, to identify parameters on the use of the special revenues. Such policy direction shall state who, how, and when, the authority to commit to use of the funds will be allowed.

K. The Finance, Audit and Operations committee of the Board reviewed this resolution on June 21, 2011 and recommends approval to the Board.

RESOLUTION

In recognition of increasing PERS rates and changes in governmental accounting standards put forth in GASB Statement 54, the Board hereby implements the following changes to the PERS Rate Stabilization Reserve Fund, effective upon approval of this resolution:

1. The Board hereby establishes in Attachment A to this resolution the policy direction and parameters for funding and expending resources of the PERS Rate Stabilization Reserve Fund.

2. The Board resolves that funding for the PERS Rate Stabilization Reserve Fund will come from property taxes.

3. 0.11% of Current Year Property Taxes currently received in fund 101 will now be credited to Fund 225.

4. Fund balances currently in Special Revenue Fund 225, the PERS Rate Stabilization Fund, shall remain in the Special Revenue Fund.

N. Sullivan / M. Murray

Resolution 4471
Attachment A

Policy on the PERS Rate Stabilization Fund

The District has established a PERS Rate Stabilization Fund to mitigate and manage fluctuations to the rate assessed against PPS salaries and wages, and to repay the PERS Unfunded Actuarial Liability (UAL) borrowing relative to the District's participation on the Oregon School Boards Association Pension Obligation Bond Programs of October 31, 2002 and April 30, 2003.

FUND REVENUES

1. Resources will be dedicated General Fund property taxes in a minimum annual amount of 0.11% of the current year property taxes generated through property taxes for operations.

2. The Board shall allocate the annual amount as part of the annual budget development process.

3. The allocated current year property tax resources shall be budgeted in the PERS Rate Stabilization Fund.

4. Use of the resources must be authorized through formal Board resolution in adherence with federal and state law and in accordance with Governmental Accounting Standards Board (GASB) standards and in compliance with General Accepted Accounting Principles (GAAP).

5. The Board hereby dedicates 0.11% of Current Year Property Tax revenues, which are currently charged at the permanent rate of $5.2781 per $1 thousand of assessed value, will be recognized in the PERS Rate Stabilization Reserve Fund.

6. This dedication of property taxes will not increase the total property taxes received by the District

7. This 0.11% property tax revenue set aside will be applied to current year Multnomah, Clackamas and Washington Counties property taxes as recognized in Accounts (41111, 41112 and 41113), and current year property GAP taxes as recognized in Accounts (411311, 411312 and 411313). This resolution is effective in the current fiscal year ended June 30, 2011, and for future years, until otherwise enacted by the Board.

FUND EXPENDITURES

8. The Board resolves that in any given year funds may be withdrawn from the PERS Rate Stabilization Reserve Fund and transferred to the General Fund under either of the following conditions:
   - For the PERS rate that is charged to all PERS eligible district payroll: Upon rate increases in the contractually required PERS charge, an amount may be transferred from the PERS Rate Stabilization Reserve Fund to the General Fund, not to exceed the contractually required combined PERS rate increase (over the PERS contractually required rate in effect at June 30, 2011) times the PERS eligible budgeted salary base for the ensuing period.
   - For the personnel benefits rate that is internally charged to pay annual PERS UAL debt service: Upon rate increases in the PERS UAL rate that are required to cover the current annual costs, an amount may be transferred from the PERS Rate Stabilization Reserve Fund to the General Fund, not to exceed the calculated PERS UAL internal benefits fringe rate increase (over the calculated fringe benefits rate for the year ended June 30, 2011) times the PERS eligible budgeted salary base for ensuing the period.
   - The Board may elect to transfer the combined maximum amounts determined for the two aforementioned conditions, any lesser amounts, or none at all.

N. Sullivan /C.A. Kirby